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California taxpayers would get $400 rebate to help with high gas prices under this new plan

March 17, 2022 | Sacramento Bee, The: Web Edition Articles (CA)
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OpenURL Link

Californians could get some extra money from Sacramento to help cope with sky-high gasoline prices and the impacts of inflation.

Assemblywoman Cottie Petrie-Norris, D-Irvine, on Thursday announced a proposal for a $400 gas rebate at a press conference alongside a group of lawmakers, most of them Democrats.

The stimulus-like rebate would go to all state taxpayers — not just drivers — because “all Californians have seen an increase in living expenses,” a news release announcing the measure said.

“Consistent with the state’s values as the global leader in combating climate change, this will ensure that the rebate includes taxpayers who use public transit, active transportation options, and zero-emission vehicles,” the release said. “By distributing it to every filer, this is the proven, most efficient way to get money out quickly for a stimulus.”

Gas prices have gone up significantly amid Russia’s ongoing invasion of Ukraine. California’s average gas price was $5.79 per gallon on Thursday — far higher than the national average of $4.29 per gallon, according to AAA.

For most Golden State drivers, a $400 rebate is equivalent to a one-year gas tax holiday, Petrie-Norris said.

Assemblymembers also emphasized the rebate option is a good one because it allows residents to have more flexibility in how they use the money. They said they’d like to see the rebate move forward as quickly as possible this spring.

“I just want Californians to know that we hear you,” said Assemblywoman Rebecca Bauer-Kahan, D-Orinda. “We see the pain you’re feeling at the pump, how inflation is affecting you every day when you do your grocery shopping and feed your family. And so what we as the Assembly Democrats want to do is put this money, this $400 gas rebate into your pockets — not into pockets of oil companies, but straight to you, as California taxpayers and the people we know are feeling this pain every single day.”

Gas rebate talks still in early stages

Assemblymembers’ rebate plan is consistent with Gov. Gavin Newsom’s suggestion “to put money back in the pockets of Californians to address rising gas prices” from his State of the State address on March 8.

Senate President Pro Tem Toni Atkins, D-San Diego, and Assembly Speaker Anthony Rendon, D-Lakewood, have also said they would like to use General Fund money to help motorists, rather than a tax cut or holiday.

Rendon on Thursday gave tentative support to the rebate but said it’s “still early.”

“There will likely be many other ideas, but this kind of approach eliminates some of the pitfalls of other proposals such as a gas tax holiday,” Rendon said in a statement. “It also shows Californians that the Legislature aims to have their backs. There is still a long way to go before we cement a plan to put dollars in people’s pockets. The discussion continues.”

Petrie-Norris said the Assemblymembers have been in conversation with Newsom’s office, but she didn’t indicate whether the rebate has his support.

Assemblymembers said their proposal to return some money to taxpayers would likely not be the only one. They still expect an additional plan from Newsom, and there may be others in the pipeline.

Assemblyman Jesse Gabriel, D-Woodland Hills, said the rebate plan is “an acknowledgment that people are feeling immediate pain at the pump right now, and they need immediate relief.”

“This proposal here is without prejudice to other things that the Legislature might do,” Gabriel said. “I know I’ve had conversations with colleagues about rebates that are more targeted, that are more means-tested to address other issues — to address cost of living increases to make sure that low income communities are getting more money back in their pockets, that we’re directing our surplus to those who need it the most.

“And also understanding that with this surplus that we can make some very important generational investments,” he added. “Whether they be in clean energy and education, on water, on other things. The size of the surplus allows us to do both and.”

Republicans support rebate, continue tax cut push

Since gas prices have surged, Republicans have been pushing Assembly Bill 1638 from Assemblyman Kevin Kiley, R-Rocklin, which would enact a six-month gas tax holiday.

California drivers pay about 51 cents per gallon in gas excise tax — money that funds road and infrastructure improvements.

But Democrats on Monday shut down Kiley’s attempt to push for a rule suspension that would have allowed a vote on his gas tax holiday bill.

Following the announcement, Kiley and Republican Assembly Leader James Gallagher, R-Yuba City, didn’t oppose the gas rebate plan, but they also continued to push gas tax cuts, as well.

“It’s actually really good to see that there’s some interest among a minority, it seems, of the Democrat caucus in providing tax relief,” Kiley said at a news conference. “I’ve been here five years, James has been here seven years — I think this might be a first. That’s really good to see. We’re happy to work with our colleagues on the other side of the aisle. We hope we get more of their colleagues involved in what should be a common sense response to having a surplus, which is to return money to California taxpayers.”

Gallagher said he’d still like to see a gas tax holiday, along with the rebate, which he wants “targeted to working Californians.”

“If they think their rebate is a better thing to do, let’s do both,” he said. “Why not do both? We can do both, and we should do it immediately.”

Gallagher challenged Democrats to get the rebate done as quickly as possible.

“They can easily fast-track bills,” he said. “So if they’re going to give a rebate, then do it now. You have the ability to do it. Don’t wait till June. Don’t wait till budget discussions. People need the relief now.”

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- **Citation (apa Style)**
  Holden, L. (2022, March 17). California taxpayers would get $400 rebate to help with high gas prices under this new plan. *Sacramento Bee, The: Web Edition Articles (CA).* Available from NewsBank: Access World News – Historical and Current: https://infoweb.newsbank.com/apps/news/document-view?p=WORLDNEWS&docref=news/188CE230B33BD070.